Revision Date:
July 1, 2024

Background:
A family who applies for CalWORKs will not be eligible for cash aid unless the family's income, exclusive of the Applicant Earned Income Disregard (EID) for each employed person, is less than the Minimum Basic Standard of Adequate Care (MBSAC) for the family.

Purpose:
This section provides instructions on determining financial eligibility, on the treatment of income in the CalWORKs program eligibility and benefits determination when there are persons excluded from the Assistance Unit (AU). The purpose of this revision is to incorporate changes to the continuing Financial Eligibility Test regulations. If the Net Non-Exempt Income (NNI), instead of the gross income, is reasonably anticipated to continue and exceeds the Tier 2 Income Reporting Threshold (IRT), the AU is financially ineligible.

Policy:
Determining Financial Eligibility
Financial eligibility (Applicant Income Test and Recipient Income Test) is determined on the basis of:
- Actual non-exempt income.
- A reasonable estimate of non-exempt income expected to be received during the month.

This estimate must be based on all relevant information available to staff and the customer. It is critical that staff make every effort to obtain all necessary verifications and thoroughly document the reason for the determination of all reasonably anticipated income as part of the application approval or denial process.

Once financial eligibility is established for the Semi-Annual Reporting (SAR) – Annual Reporting/Child Only (AR/CO) payment period, financial eligibility continues for the AU for the entire SAR – AR/CO payment period unless the family's NNI exceeds the IRT Tier 2 for the AU for more than one consecutive month.

MBSAC
The MBSAC is the amount of money which is considered necessary to provide a family with the following:
- Housing.
- Clothing.
- Food.
- Utilities.
- Items for household operation, education and incidentals, recreation, personal needs, and insurance.
- Essential medical, dental, or other remedial care not otherwise provided at public expense.

The MBSAC for the family applies when determining financial eligibility for applicants, the value of in-kind income for the AU, the amount of income from a sponsor available to a sponsored non-citizen, the

period of ineligibility for non-qualifying withdrawals from restricted accounts and the transfer of assets. The MBSAC amounts are subject to a yearly cost-of-living adjustment each July 1. Refer to the CalWORKs Assistance Standards Chart, under CalWORKs Program Guide (CPG) 45-200 Resources and Desk Aids, for current values.

Applicant Income Test

The following financial eligibility test will be applied to applicant cases:
An applicant family's gross non-exempt income, excluding the Applicant EID for each employed person, cannot exceed the MBSAC for the family. The Applicant EID amount for each employed person is as follows:

- Up to June 30, 2022, allow $90.
- Effective July 1, 2022, allow $450.

Gross income includes:

- Total gross earnings from employment.
- Disability Based Income (DBI).
- Net earnings from self-employment income – allow the actual business deductions or the 40% disregard.
- Child Support whether received directly by the customer or collected by the county (less the Child Support Disregard).
- Unearned Income.
- Any other non-exempt income of persons in the family whose income must be counted towards the AU.

If the family is not financially eligible for the first (application) month but is determined to be financially eligible within 60 days of the application date, another applicant test using the second month's reasonably anticipated income will be completed. If eligible, aid would be approved effective the first of the second month.

Exception to Applicant Income Test

The Applicant Income Test and the 100-hour work rule will not be applied to a customer who leaves aid due to expanded subsidized employment income, as described in CPG 10-150.A, and applies for CalWORKs during the three-calendar month period after the subsidized employment ends. Only the Recipient Income Test will be used for these customers.

Example: The customer was discontinued earlier in the year due to increased earnings received from their expanded subsidized employment. The subsidized employment ended on April 18 and the customer re-applies for CalWORKs on June 8. The three-month period for the customer to reapply and be treated as a recipient is from April 18 (last date of employment) to July 18. Because June 8, is within the three-month period, the customer must be treated as a recipient and allowed the current Recipient EID and 50% deduction. Because they are considered a recipient, the 100-hour work rule does not apply.

However, if a customer re-applies for CalWORKs after this three-month period has passed, they will be considered an applicant for the purpose of determining CalWORKs financial eligibility.

Recipient Income Test

An applicant family who meets the applicant net income test and is otherwise eligible for CalWORKs is subject to the Recipient Income Test prior to the authorization of aid. The AU is financially eligible for any month when on the first of the month the combined actual or estimated NNI plus all other countable income is less than the Maximum Aid Payment (MAP) for the AU plus the value of any special need. The Recipient Income Test will be applied to both applicant and recipient cases.

The AU is financially eligible as follows:

- An applicant AU is financially eligible for the SAR – AR/CO Payment Period if the family's combined reasonably anticipated monthly NNI for the SAR – AR/CO Payment Period, after the income and needs of the family are considered, is less than the MAP for the AU.
- A recipient AU will remain financially eligible during the SAR or AR/CO Payment Period if the family's combined monthly NNI does not exceed the AU's Tier 2 IRT for more than one month of the SAR or AR/CO Payment Period.

If the AU has income that has been previously used to determine eligibility and benefit amount but expects the amount of income to change in the next SAR/AR/CO Payment Period, staff must attempt to find out the amount of income the AU expects to receive.

Net Non-exempt Income

NNI is gross income for the AU and other family members (if applicable), minus all applicable income exemptions and income disregards (CPG 44-100.C).

If CalWORKs is discontinued because the monthly reasonably anticipated income is expected to result in financial ineligibility for the SAR or AR/CO Payment Period and the AU reports that the monthly reasonably anticipated NNI will no longer exceed the Tier 2 IRT for the AU prior to the effective date of the discontinuance, the discontinuance must be rescinded if it is determined that the updated report is a reasonable estimate.

Adding Persons to the Assistance Unit

When adding a new person to an existing AU, the AU is subject to the Recipient Income Test only, for determining financial eligibility of the reconfigured AU, not the Applicant Income Test.

If the new person has income that when included, would result in the AU being financially ineligible to cash aid, no action will be taken to change the AU's benefits in the current payment period.

When an AU Resides with a Supplemental Security Income/State Supplemental Payments (SSI/SSP) or Cash Assistance Program for Immigrants (CAPI) Customer

- The aid payment and income of a SSI/SSP or CAPI person are disregarded in the determination of eligibility and grant for the CalWORKs AU.
- Lump sum retroactive SSI/SSP or CAPI payments are not considered income to the AU.
- Payments made by the SSI/SSP or CAPI person to a CalWORKs customer for goods or services (such as payments for personal services such as dressing, bathing, cleaning) are considered income to the AU.

- Voluntary contributions made by a SSI/SSP or CAPI recipient to a customer are considered income to the AU. This does not include income pooled to meet shared living expenses.
- Interests generated from the community or joint property of a SSI/SSP or CAPI recipient and a CalWORKs customer is prorated, and the customer's share is countable income to the AU.
- When the income of a person whose income must be counted in the CalWORKs grant (such as non-AU members) is also being counted in a SSI/SSP or CAPI grant computation, the income must be used in the CalWORKs grant computation.

Approval of SSI/SSP or CAPI

When a customer receiving CalWORKs is approved for SSI/SSP or CAPI benefits, no retroactive adjustment of CalWORKs is made. The past CalWORKs payment for the person will be computed with retroactive SSI/SSP or CAPI benefits for the period that the SSI/SSP or CAPI application was pending. It does not consider the CalWORKs grant in computing future SSI/SSP or CAPI payments.

Actual voluntary contributions made by a SSI/SSP or CAPI customer to a CalWORKs customer are income to the AU. This does not include pooled income to meet shared living expenses. However, no contribution is required by the SSI/SSP or CAPI customer.

Income of Children, Non-Minor Dependents and Non-Minor Former Dependents in Foster Care, Extended CalWORKs or Kinship Guardian Assistance Payment (Kin-GAP)

- All net income received by or on behalf of children in foster care or Kin-GAP is considered income of the child in Foster Care and will not be included in the AU's income and grant computation.
- Income received by a non-minor dependent will not be included in the income and grant computation for the non-minor dependent receiving extended CalWORKs benefits.
  Note: The non-minor dependent is not precluded from receiving both SSI/SSP and extended CalWORKs. The SSI/SSP aid payment will not be included in the income and grant computation for the non-minor dependent receiving extended CalWORKs benefits.
- Income received by a non-minor dependent or non-minor former dependent will not be included in the income and grant computation for the caretaker relative's AU, if the relative continues to be aided.

Income of a Person Who is Sanctioned or Penalized

Income of persons living in the home who are required to be in the AU but are sanctioned or penalized, is available to the AU. The needs of these individuals are not considered except for persons in an AU that are being penalized for failure to cooperate with Child Support.

Actions which are subject to sanction, or which constitute a failure to cooperate include, but are not limited to:

- Failing or refusing, without cause, to comply with Employment Services requirements.
- Refusing to furnish or cooperate in securing a social security number.
- Refusing to assign rights to child and spousal support payments.
- Refusing to take actions necessary to obtain unconditionally available income.
- Refusing or failing to attend school regularly or cooperate in verifying school attendance.
- Refusing or failing to submit verification of immunization for AU children under age 6.

- Committing an Intentional Program Violation (IPV).

Income in Cases in Which a Person is Excluded

The income of a parent is considered when that parent is living in the home but is excluded from the AU. A parent's needs are only considered when they have income unless the parent is an ineligible non-citizen parent. This section does not apply to parents excluded due to a sanction, being a recipient of another aid program, or being a member of a different AU.

Parents Whose Needs and Income Are Considered

Parents whose needs and income are considered include, but are not limited to:

- A stepparent who is the spouse of the customer child's parent when the child's parent is residing in the home and the stepparent is not the parent of any natural or adoptive children who are required to be included in the AU.
- Natural or adoptive parents who are excluded by law.
- Senior parents excluded from the minor parents' AU.
- Parents of unborn children in Pregnant Person Only (PPO) cases.
- Spouses of aided children in their parents' AU when the spouse does not have a child in the AU.

MAP/ MBSAC

The needs of the following persons are considered in the family MAP (recipient cases) or MBSAC (applicant cases). The family MAP/MBSAC will include:

- The needs of the following ineligible non-citizens who are related to the AU and who, but for their citizenship status, would be eligible for aid:
  - An ineligible non-citizen spouse of an AU member.
  - An ineligible non-citizen parent of a child in the AU.
  - An ineligible non-citizen parent of an ineligible non-citizen child in common who is deprived of parental support and care.
  - An ineligible non-citizen child of an AU member.
  - An ineligible non-citizen child who is the sibling or half sibling to a child in the AU.
- The needs of AU members other than those listed in section above: "Income of a Person Who is Sanctioned or Penalized".
- The needs of persons excluded from the AU listed in section "Income in Cases in Which a Person is Excluded" above, whose income is being considered.
- The needs of any children of the person above whose income is being considered, or other dependents living in the home who could be claimed by the person for tax purposes.
- The needs of any spouse of the person above whose income is being considered.

Note: The income of children not required to be in the AU is excluded unless the needs of that child are considered.

Income of a Non-needy Caretaker Relative Other Than the Parent

The amount by which a non-needy relative, other than a parent with whom the child lives, is able and willing to meet the child's needs is income to the AU.

Income of Non-citizens Who Have Been Sponsored

When a non-citizen is sponsored by an individual, as defined in CPG 42-400.C Sponsored Non-Citizens, the income of their sponsor who is not receiving CalWORKs, SSI/SSP or other cash assistance payments and the income of the sponsor's spouse who lives with the sponsor and is not receiving public cash assistance payments will be deemed to the sponsored non-citizen's income using SAR 22 (Sponsor's Statement of Facts Income and Resources) or SAR 72 (Sponsor's Semi-Annual Income and Resources Report). This income is determined as follows:

- The total amount of unearned income of the sponsor and their spouse.
- The total amount of earned income received by the sponsor and their spouse, as wages or salary or net earnings from self-employment.
- If the sponsor is the sponsor of more than one non-citizen, divide the total gross income by the total number of sponsored non-citizens who are applying for or receiving CalWORKs. This amount will be deemed to the income of each customer who is a sponsored non-citizen.

- If the sponsored non-citizen is:
  - Not included in the AU, then the portion of their income deemed from the sponsor will not be used in determining their contribution to the AU unless such income is actually available to the AU.
  - **Note:** Sponsored non-citizens whose needs are being met by the sponsor must be excluded from the AU. A sponsored non-citizen's needs are met when the total deemed income from the sponsor meets or exceeds the MAP for the sponsored non-citizen(s).
  - A member of the AU, then the portion of their income deemed from the sponsor would be treated as unearned income.
- If the sponsor is either an excluded parent or stepparent, then their income is to be treated in accordance with excluded parent/stepparent deeming computations.

Income and Needs of Timed-Out Adults

Income and needs of adults living in the home who have been removed from the AU due to exceeding the CalWORKs time limits will be treated as follows:

- Parents otherwise required to be in the AU:
  - NNI of timed-out parents who are otherwise required to be in the AU and living in the home will be considered available to the AU. The needs of these parents will not be considered when calculating the grant for the aided AU members.
- Non-parent caretaker relatives:
  - Timed-out non-parent caretaker relatives living in the home are no longer eligible to be optional AU members, and their income and needs will not be considered when calculating the grant for the aided AU members.
- Stepparents not required to be in the AU:
  - Timed-out stepparents not required to be in the AU and living in the home are no longer eligible to be optional AU members, and their NNI and needs will be treated as specified under the "Parents Whose Needs and Income Are Considered section above".
- For timed-out adults whose income must be considered in the AU's grant computation, NNI will be determined as specified under Processing Guide 44-100.C1 Computation of Net Non-Exempt Income.

Procedure:

- Processing Guide 44-100.A1 Examples of Financial Eligibility Test.
- Processing Guide No. 44-100.A2 Examples of Budget Computation When There Are Persons Excluded from The Assistance Unit.
- Processing Guide 44-100.C1 Computation of Net Non-Exempt Income.

References:

- Eligibility and Assistance Standards (EAS) 44-207.11, 44-111.470, 44-133.
- All County Letters (ACLs) No. 20-115, 21-130, 23-96.

Sunset Date:

This policy will be reviewed for continuance by July 31, 2027.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services